

Subject Code	AF5646
Subject Title	Development Economics
Credit Value	3
Level	5
Normal Duration	One Semester
Pre-requisite / Co-requisite/ Exclusion	Nil
Objectives	This subject is integral to achieving the Programme Learning Outcomes. It primarily contributes to Learning Outcome 1 by providing students with systematic knowledge and an economic framework to understand the development of the economies of China and East Asia, thereby enhancing their understanding of modern economic theories and applications. Also, it supports Learning Outcome 2 by developing students' skills in data science. Students will adopt an empirical approach, analyze detailed survey data, and evaluate the effectiveness of policies aimed at poverty reduction. The course provides a strong foundation in regression analysis and the use of statistical software. Furthermore, the subject significantly contributes to Learning Outcome 3. It equips students with the necessary analytical and technical skills to perform a broader range of real-life analysis. This is achieved by teaching practical economic analysis techniques and applying them to real-world economic issues in the context of China and East Asia. This practical application of knowledge and skills ensures that students are well-prepared to tackle challenges in business, economics, finance, and policy. This subject also addresses Learning Outcome 4 by cultivating a global perspective and a sense of social responsibility. Students will integrate econometric skills with the United Nations Sustainable Development Goals, enhancing learning through problem sets and examples related to global challenges. Learn more about UN SDGs here: https://sdgs.un.org/goals
Intended Learning Outcomes	Upon completion of the subject, students will be able to: (1) Describe the key aspects of human development in the developing world and economic development in China and East Asia, using macroeconomic framework as context for micro-level analysis; (2) Demonstrate command of the theoretical and empirical foundations of Development Economics. (3) Apply economic theories to analyze real-world key economic issues, with a focus on China, the Asia Pacific, and the developing world. (4) Evaluate the fundamental economic forces and effectiveness of various policies that have significantly influenced the regions' economic performance. (5) Utilize statistical and data science tools to analyze data, critically interpret statistics, and develop an empirical approach to understanding the economies of China and East Asia.

Subject Synopsis/ Indicative Syllabus	Key Issues in Economic Growth and Development Fundamental causes of growth; Why do some countries grow so fast while other not; The analytical framework for understanding growth; Growth theory; Poverty Traps; Income Distribution; Trade and development; Industrial Policy; Property rights; Corruption. Economic Development of China Why growing so fat? How can China sustain its growth? Current issues and challenges. Hong Kong: Growth experience; Hong Kong’s financial crisis 1997; Hong Kong’s financial system and HKD’s future Economic Development of Japan Economic growth; Japan’s lost decades; Recent reforms and current issues. Economic Development of South Korea and Taiwan Economic growth; Income distribution; Management System; Financial market; Industrial structure and industrial policy; International trade; Economic integration between Taiwan and Mainland China Economic Development of Southeast Asian Countries Overview of growth experiences; Current issues and challenges																																																																						
Teaching/Learning Methodology	This subject will be taught in both lecture and seminar formats.																																																																						
Assessment Methods in Alignment with Intended Learning Outcomes	<table><tr><th rowspan="2">Specific assessment methods/tasks</th><th rowspan="2">% weighting</th><th colspan="6">Intended subject learning outcomes to be assessed (Please tick as appropriate)</th></tr><tr><th>1</th><th>2</th><th>3</th><th>4</th><th></th><th></th></tr><tr><td>Continuous Assessment</td><td>50%</td><td></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>1.Class Participation</td><td>10%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>2.Seminar Presentation and Report</td><td>40%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>Final Examination</td><td>50%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>Total</td><td>100%</td><td></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td></td><td></td><td colspan="6"></td></tr></table> Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes: Class Participation – Students should read relevant lecture materials before the class and participate actively in class discussion, which helps develop the skills and acquire the knowledge and tools for business decision analysis. Presentation and Written Report – Through discussion, students working on an assigned problem by applying the knowledge and tools learned in the lecture and	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)						1	2	3	4			Continuous Assessment	50%							1.Class Participation	10%	✓	✓	✓	✓			2.Seminar Presentation and Report	40%	✓	✓	✓	✓			Final Examination	50%	✓	✓	✓	✓			Total	100%																						
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	associated readings, presenting it to the class and writing it up as a report. This process helps develop students' ability to analyze key issues related to learning outcomes. Final Exam – Through the exam students are assessed in terms of the overall effectiveness of their command of the subject learning outcomes.	
Student Study Effort Expected	Class contact:	
	▪ Lectures / Seminars	39 Hrs.
	Other student study effort:	
	▪ Reading of reference materials and Preparation for presentation and written report	78 Hrs
	Total student study effort	117 Hrs
Reading List and References	Recommended Textbook There is no prescribed textbook. Lecture summaries and supplementary notes will be distributed from time to time. • Todaro, M. P., & Smith, S. C. (2015). <i>Economic development</i> (12th editi). Essex Pearson Education Limited. • Banerjee, A. V., and E. Duflo. "The Economic Lives of the Poor." <i>Journal of Economic Perspectives</i> • Olinto et. Al (2013) "The State of the Poor: Where Are the Poor, Where Is Extreme Poverty Harder to End, and What Is the Current Profile of the World's Poor?" • Chapter 4 of "Handbook on Poverty and Inequality". World Bank • Olken (2007) "Monitoring Corruption: Evidence from a Field Experiment in Indonesia" <i>Journal of Political Economy</i> • Hernando de Soto (2000) "The Mystery of Capital: Why Capitalism Triumphs in the West and Fails Everywhere Else." <i>New York: Basic Books</i> • Woodruff (2001) "Review of de Soto's The Mystery of Capital" <i>Journal of Economic Literature</i> • Erica Field (2007) "Entitled to work: urban property rights and labor supply in Peru" <i>Quarterly Journal of Economics</i> • Acemoglu, Daron (2008), <i>Introduction to Modern Economic Growth</i>. Princeton University Press, 2008. (Read Chapter 4). • Antràs, Pol. 2021. "De-Globalisation? Global Value Chains in the Post-COVID-19 Age." 2021 ECB Forum: "Central Banks in a Shifting World" Conference Proceedings. • Thomas Piketty and E. Saez (2014) <i>Inequality in the long run</i>. <i>Science</i>. 344: 838-843. http://piketty.pse.ens.fr/fichiers/PikettySaez2014Science.pdf • Barry Eichengreen, Wonhyuk Lim, Yung Chul Park and Dwight H. Perkins (2015). <i>The Korean Economy: From a Miraculous Past to a Sustainable Future</i>. Harvard University Asia Center. • Dwight H. Perkins (2013). <i>East Asian Development: Foundations and Strategies</i>. Harvard University Press. • Juhász R, Lane R, Rodrik D. (2023), 'The New Economics of Industrial Policy,' NBER WORKING PAPER 31538. • K. Ohno (2018), <i>The History of Japanese Economic Development</i>, Routledge. • Kevin Sneader (2019). "How Asia's rise is reshaping the world". McKinsey. (https://www.mckinsey.com/featured-insights/asia-pacific/how-asias-rise-is-reshaping-the-world) • Saches, Jeffrey (2012), <i>Government, Geography, and Growth: The True Drivers of Economic Development</i>. Foreign Affairs, Oct. 2012.	

<http://www.foreignaffairs.com/articles/138016/jeffrey-d-sachs/government-geography-and-growth>

- Song, Byung-Nak (1997), *The Rise of the Korean Economy*, Oxford University Press.
- Takatoshi Ito (1992), *The Japanese Economy*, MIT Press.
- World Bank (1993), *The East Asian Miracle: Economic Growth and Public Policy*, Oxford University Press.